

Agriculture Insurance Company Of India ... vs The Farmers Service Cooperative ... on 15 November, 2006

NCDRC

NATIONAL
CONSUMER DISPUTES REDRESSAL COMMISSION

NEW
DELHI

FIRST
APPEAL No.362 OF 2006

(from the order dated
8.6.2006 C.D. No.62/2003

of the State
Commission, Hyderabad)

Agriculture Insurance Company of India Ltd.

(Earlier
the General Insurance Corporation of India)

(Corp
Cell), 8th Floor,

United India Towers, 3-5-817,
Basheerbagh

Hyderabad : Through

Asstt. General
Manager

Head
Office

13th
Floor, Ambadeep Building

14, Kasturba Gandhi Marg,

Connaught Place,

New
Delhi- 110 001
Appellant

Versus

The Farmers Service Cooperative Society Ltd.

(L.
No.1719) Rep. By its President Shri
T. Pattabi Reddy

Park
Street, Sullurpet,

Nellore Distt. Respondent

REVISION PETITION NO.
2505 OF 2005

(from the order dated
4.7.05 in Appeal No.963/05 of the State Commission, Karnataka)

Agricultural
Insurance Co. of India Ltd.
Petitioner

Versus

B. Narayanaswamy
Respondent

REVISION PETITION NO.
2506-2511 OF 2005

Agriculture Insurance Company Of India ... vs The Farmers Service Cooperative ... on 15 November, 2006
(from the order dated
4.7.05 in Appeal No.960-966/05 of the State Commission, Karnataka)

Agricultural
Insurance Co. of India Ltd.
Petitioner

Versus

H.L. Omprakash
Respondent

BEFORE :

HONBLE MR.JUSTICE M.B. SHAH,
PRESIDENT

MRS. RAJYALAKSHMI RAO, MEMBER

For the
Appellant : Mr. A.K. Soni,
Advocate

in F.A. No.362/2066

For the U.O.I. : Mr.H.K. Gangwani, Advocate

For the
Respondent : Nemo

in F.A. No.362/2066

For the
Petitioner : Mr.Ranji
Thomas and Mr.Atulesh

(in RP No.2505 Kumar
Anant, Advocates

and RP Nos.2506/2511)

For the
Respondent : Mr.Girish Ananthamurthy,

(in R.P.2505/05) Advocate

For the
Respondent : Mr.Shailesh Madiyat
and Mr.R.B.

(in R.P.2506-2511/05) Phookan, Advocates

15.11.2006

ORDER

FIRST APPEAL No.362 OF Heard the learned counsel for the Appellant Agriculture Insurance Co. of India Ltd. (hereinafter referred to as Insurance Co.) and that of the Central Government.

By order dated 8.6.2006, Andhra Pradesh Consumer Disputes Redressal Commission, Hyderabad allowed the complaint filed by Farmers Service Cooperative Society Ltd. and directed Insurance Company to reimburse to the Members (farmers) of the Complainant Society on the basis of the Insurance Policy. Before the State Commission it was pointed out that for the Rabi season for the year 2000-2001 paddy crop was raised, the nodal agency collected the yield data from seven villages. It was contended by the farmers before the State Commission that the data which was collected by the nodal agency was from the lands having adequate irrigating source through the borewells and each of the lands has a borewell with sufficient water for irrigating the lands. For that purpose, the necessary affidavit was filed on behalf of the farmers.

Considering this aspect, the State Commission referred to the Notification issued by the Revenue Department of the State of A.P. stating that in the villages of Nellore Disstt., crops were damaged due to draught. Relying upon that Notification, the direction was given by the State Commission to Insurance Company to pay that amount to the concerned farmers.

Against that order, the Insurance Company has preferred this appeal. At the time of admission of this matter on 20.9.2006, we passed the following order:-

It appears that Government of India is announcing Crop Insurance Welfare Schemes

at various levels from time to time. Affected farmers have to wait for years to get the relief because of method adopted for its implementation. The method of calculation of draught relief in the affected areas is on the basis of the samples which are taken from the irrigated land. This would, certainly, mean that those farmers who are having no irrigation facility even though they pay insurance premium, they are the sufferers and they do not get any relief except litigation from one District Forum to State Commission/National Commission and thereafter to the Supreme Court.

In the present case, it is to be stated that the District Collector, Nellore, Andhra Pradesh has issued notification (based on the method adopted by the District) for the crop loss and directed the Scheme Implementing Authority to pay compensation to the Members of the complainant-Society who paid premium for crop insurance for Rabi season 2000-2001 taking the average crop loss at 70-75%.

In our view, unless such welfare scheme is properly implemented, the benefit would not go to the farmers but the amount would be spent in litigation. Further, non-implementation of the scheme is bound to increase rural debt, exploitation and in some cases loss to the society.

Hence, the presence of the Secretary, Ministry of Agriculture, Central Government, is necessary to find out whether the method adopted in repudiating the loss of the insured is justified or not.

Thereafter notice was issued to the concerned Secretary for seeking explanation why the notification issued by the State of Andhra Pradesh was not followed or not considered in paying the insurance amount to the farmers.

We are sorry to note that a rigid stand, as usual, was taken by the concerned Secretary without considering that the scheme framed by the Central Government was a welfare scheme for the benefit of the framers so that marginal farmers or poor farmers may not suffer any hardship. It was contended that once we have framed the scheme we are bound to pay the amount only as per the scheme. Because of the said stand, we directed the concerned Secretary to file the necessary affidavit. In the affidavit, the same stand is reiterated.

We would state that if such a rigid stand is taken, probably the welfare schemes would not be implemented in the spirit in which the same are framed. It would only increase the litigation at the cost of the farmers and the public fund as well as at the cost of the time of the concerned officers whose salary is funded by the Government.

No doubt, in the affidavit, in paragraph nos.13 and 14 it has been stated that improvement of the scheme is under consideration. We would reproduce the said paragraphs, which are as under:-

That in order to make existing NAIS more farmer friendly, a Joint Group was constituted to study the improvements required in the existing crop insurance schemes. The Group made in-depth study of the related issues and submitted its report. The important recommendations made by the Group are in respect of reducing the unit area of insurance to Gram Panchayat for major crop, improving the basis of calculation of threshold yield, higher indemnity level of 80% and 90%, coverage of pre-sowing/planting risk and post-harvest losses, to provide personal accident insurance cover and Package Insurance Policy etc. That the report was circulated among the States/UTs and other departments/organizations for their comments/views. Based on the recommendations of the Joint Group, comments received from various States/UTs and other concerned departments/agencies, a modified NAIS is under active consideration of the Government.

Learned counsel appearing on behalf of the Central Government shall place the order passed by this Commission before the concerned Honble Minister for appropriate directions.

Adjourned to 12.12.2006 for direction.

Insurance Company to pay Rs.5,000/- as costs to the respondent because respondent is required to engage an advocate. Dasti in addition.

REVISION PETITION NO.

2505 OF 2005 AND REVISION PETITIONS NO.

2506-2511 OF 2005 Similar is the position in Revision Petition Nos.2505/2005 and 2506-2511/2005. On record, there is a report of a High Level Committee constituted for the study of the situation of the sugarcane crop located around KRS Reservoir and River Canal (Cauvery Source) of Mandya District, State of Karnataka. The Committee was constituted under the Presidentship of the Chief Minister of the State and almost all officers were higher officers including the Principal Secretary, Revenue Department. The Committee in its report, as quoted by the District Forum, observed thus :

The economic analysis of the expenses in the sugarcane production under the normal circumstances is that approximately for one acre of raised Kharif and Rabi sugarcane the expenses is Rs.33495/- and Rs.24325/- respectively. Approximately the production of sugarcane in one Acre is 55 Tons and Rabi sugarcane is 45 Tons. One Ton of sugarcane is priced at Rs.850/- and as such the total price of sugarcane for one acre is Rs.38,250/-. For one acre of land the approximate income deducting the expenses for sugarcane is Rs.13255/- and Rabi sugarcane is Rs.13925/-. That means from every Rupee the net income of Kharif sugarcane is 0.50 and Rabi sugarcane is Rs.0.56.

Further, the District Forum has relied upon the certificates issued by the Competent Authority. The relevant discussion is as under :

On the basis of certificate dated 26.8.2004 issued by Tahsildar, Mandya Taluk and letter dated 31.8.2004 issued by Asstt. Director of Agriculture, Mandya Taluk it can be made out that sugarcane crop grown by complainant in his lands Survey No.14/A43P2 extent of 0.10 guntas, 14/P20 extent 1.00 acre, 14/P12 extent 1.00 acre, 14/P21 extent 3.01 acres of Doddabansavadi Village and in Survey No.168/1P2 extent of 0.30 guntas, 193/1 extent 0.32 guntas, 193/2 extent of 0.13 guntas, 193/2P-1 extent of 0.12 guntas, 193/3 extent of 0.34 guntas of Hulivana Village during July 2002 completely dried up due to scarcity of water and complainant has sustained complete loss of said crop.

On record there is also a report of the Tahsildar, Mandya Taluka, wherein it has been stated that as per the reports of the Revenue Inspector, due to continuous drought for a period of 3 years and drying up of water in the borewells, the sugarcane crops raised dried up during the year 2002-03 in the lands in question.

However, we would mention that the petitioner has relied upon the data based report submitted by CCE and it is contended that the petitioner cannot pay compensation on the basis of Anawari Certificate or the District Gazette or the losses to individual farmers because the scheme does not operate in favour of each individual agriculturist.

On the said ground as the petitioner failed to pay the amount, farmers were compelled to litigate and bear the cost of the advocates and visit the consumer fora from time to time as such matters are required to be adjourned repeatedly by the consumer fora for giving adequate opportunity to the concerned officers of the petitioner to defend themselves.

We would, therefore, like to draw the attention of the concerned Honble Minister so that appropriate decision can be taken on the subject, particularly when the State Government has issued notification on the basis of the report submitted by the Revenue Officer including the Collector of the District that the entire area was hit by draught or in the case where State Government has appointed high level Committee for finding out the correct facts and that when that report is brought to the notice of the Insurance Company for reimbursement under the insurance cover, whether the Insurance Company should pay the amount on that basis.

In our view, such schemes are to be made flexible and not rigid so that the benefit of the welfare scheme reaches the concerned persons and the object of the schemes is not frustrated.

In this view of the matter, such a stand in a welfare scheme requires re-consideration at a higher level.

Stand over to 12th December 2006.

Sd/-

J. (M.B. SHAH) PRESIDENT Sd/-

(RAJYALAKSHMI RAO) MEMBER